

tees, banks, NBFCs, and other corporations whose financial stability may be affected by adverse weather conditions,” says Kumar. Coverage, premiums, and payouts are customised to meet the specific needs of each client, he adds.

TATA AIG’s parametric products are designed to address a wide range of climate-related perils such as lack of wind or solar radiation, tropical cyclones, extreme temperatures, and abnormal rainfall. “Products can be customised to offer coverage for most climate-related risks where data is available, ensuring comprehensive protection for crops, humans, and livestock,” he adds.

Bajaj Allianz and HDFC ERGO, too, have agriculture-linked parametric products. Earlier this year, Bajaj Allianz introduced a comprehensive product that provides coverage for various risks, including property and industrial risks.

Bajaj Allianz says this is a

ERGO General Insurance, says the company offers a comprehensive weather insurance policy that provides index-based insurance coverage against excess or deficit rainfall, temperature, and wind. “It can also be expanded to cover the impact on livestock or milk production,” Ghosh tells *BT*.

There are over two dozen parametric products in the Indian market, pegged at around \$50-100 million. The global parametric market is worth about \$14.8 billion and is expected to grow at a compound annual growth rate (CAGR) of 9.6% in the next five years.

### TO THE RESCUE!

Nagaland is the first state in India to have its entire area protected from rainfall using parametric cover. In any region where rainfall crosses the insured rainfall index, payout happens even if there is no damage to property or people.

AXA’s Tomar explains that traditional insurance will not cover losses unless there is physical

on traditional insurance products owing to changes in weather patterns. Parametric insurance, in a way, complements traditional insurance by providing coverage on top of the usual policies.

According to industry players, a leading re-insurer said in April this year that if a client has a hydroelectric plant in Uttarakhand, then for any natural catastrophic event they are limiting the exposure to ₹100 crore.

“This re-insurer has put a limit, even if the hydroelectric plant is worth ₹1,000 crore. This has opened a window for parametric insurance cover to step in. Now all these insurance companies are talking to re-insurers asking for a cover that sits on top of that traditional insurance cover of ₹100 crore,” one of the industry players says, seeking anonymity.

Additionally, there are products for the marginalised sections of society whose daily wages may be impacted in case of heavy precipitation or extreme heat.

In Gujarat, the Atlantic Council’s Adrienne Arsht-Rockefeller Foundation Resilience Center, a platform that builds community resilience in the face of climate events, worked collaboratively with trade union Self Employed Women’s Association (SEWA) and Blue Marble, a re-insurer, to design the first-of-its-kind parametric insurance product under the state government’s Extreme Heat Protection Initiative to help women recover lost wages due to reduced or missed productive hours caused by climate-driven extreme heat. The pilot, launched last year, covers 21,000 female workers.

“Our microinsurance is activated when specific temperature thresholds are met, which were set based on potential health risks. It was also designed with multiple

## NAGALAND IS THE FIRST STATE IN INDIA TO HAVE ITS ENTIRE GEOGRAPHICAL AREA PROTECTED FROM PRECIPITATION USING PARAMETRIC COVER

customisable product where terms such as premium and sum insured are determined based on the specific risk and customer requirements. “Claims assessment under this product relies on weather data sourced from the Indian Meteorological Department or other authorised agencies to measure deviations in weather parameters.”

Parthanil Ghosh, Director & Chief Business Officer, HDFC

damage to an asset, even if a business suffers a non-damage loss due to climatic events. “This is where parametric insurance comes into play,” he says.

Other states like Meghalaya, Assam, West Bengal, Odisha, UP, Punjab, and Kerala are also in talks with insurers and re-insurers to provide parametric cover.

New insurance products are cropping up at a time when more and more restrictions are being put